company's earnings-growth prospects. A company's earnings may be flat but its stock cheap in terms of its underlying worth; or its market capitalization may be higher than the value of its assets, but its earnings potential still labels it a bargain.

Growth stock investors, of course, concentrate on earnings, and a stock's price-to-earnings ratio is their most commonly used yardstick in measuring a stock's attractiveness. But you can also compare price to sales, or to cash flow. With a company that's highly profitable, and whose profitability is recognized by the market, it doesn't matter: the multiples will be high no matter which ratio you look at.

P/Es can be tricky, though. Sometimes they mean little. In a turnaround situation, most obviously, a company could be losing money but be attractive because of the promise of future profits. The earnings part of the P/E equation can be manipulated by compliant accountants. You have to be particularly cautious in evaluating real estate companies: reported earnings can be totally misleading because of illusory depreciation numbers.

In some industries—oil, for example—you may see accounting losses but strong cash flow. Cash flow—or, as analysts now refer to it, EBITDA (earnings before interest, taxes, depreciation, and amortization)—is a good way to get a handle on the operating profitability of a company, and probably the best tool for comparing companies, especially those in different industries or countries. The German brewery Binding Brauerei, whose stock my wife and associate, Leah Zell, bought when it was selling at about thirty times earnings (according to German accountants), was priced at only three times cash flow.

Chuck McQuaid recently pointed out that "perhaps the most common mispricing occurs when other analysts aggregate all of a company's disparate operations together and apply a valuation multiple to the total earnings or cash flow." One division incurring start-up costs could be dragging down total earnings, distorting what is fundamentally a healthy picture. As Chuck notes, a "private